

EXECUTIVE SUMMARY

Customer Intelligence Report — D2C Fashion Brand

~37% Core Loyalist Share	43% Discount Dependency	~57% Organic Revenue	3,900 Customers Analysed
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Customer Segmentation

Loyalty was measured using the **Engagement-Based Loyalty (EBL)** definition — weighted on Previous Purchases (55%), Purchase Frequency Score (25%), and Discount Absence (20%), after evaluating two competing definitions. EBL was selected because it produces a **2.1x separation** in repeat purchases between loyal and non-loyal groups, while the Spend-Sentiment definition (spend + rating + subscription) showed no meaningful repeat-purchase separation.

Segment	Customers	Revenue Share	Avg Repeats	Discount Rate
Core Loyalist	~1,443 (37%)	~37.5%	~32.4	0%
Deal Seeker	~1,234 (31%)	~30.8%	~19.6	100%
Low-Engagement	~748 (19%)	~19.5%	~10.7	0%
Promo-Dependent	~475 (12%)	~12.2%	~41.1	100%

Key Findings

■ ~43% of revenue is discount-dependent

Deal Seekers and Promo-Dependent customers together account for ~1,709 customers whose every recorded transaction required a discount. The business is renting nearly half its revenue, not earning it.

■ Purchase frequency is the strongest loyalty predictor

Weekly buyers score ~67.1 on the EBL scale vs. ~40.5 for annual buyers — a 65% gap. Purchase_Freq_Score at acquisition is a more reliable long-term signal than spend per visit. This is reflected in the 25% weight assigned to it in the EBL formula.

■ Geography reveals hidden organic demand

Arizona (33.8% discount rate), Kansas (23.8%), and Tennessee (36.4%) show the highest Brand Affinity Index (BAI) — high spend and low promo dependency. Indiana (57% discount rate, below-average spend) is the clearest case of discount-inflated volume with no genuine brand affinity.

■ Accessories retain; Outerwear acquires

Accessories buyers have the highest average Previous Purchases (25.73) and sit firmly in the Veteran Purchase_History_Band (34–50 purchases). Outerwear carries the highest discount rate (44.4%) and lowest customer tenure — it brings customers in via promotions but does not retain them.

■ Customer Value Index differentiates beyond spend alone

Two customers spending \$70 are not equivalent if one buys weekly and the other annually. The Customer_Value_Index (Purchase Amount x Purchase_Freq_Score) surfaces this — High Value Band customers are dominated by Core Loyalists, while Low Value Band is split between Low-Engagement and Deal Seeker segments.

Recommendations & Ideal Customer Profile

1. Sunset discounts for Deal Seekers over 9 months

Freeze discounts to low-engagement Deal Seekers (~748) immediately. Substitute value-led offers (early access, free shipping, loyalty points) for higher-engagement Convertible Deal Seekers (~486) over Months 3–5. Full sunset by Month 8. Target: discount dependency below 30%.

2. Re-engage Low-Engagement customers at zero promo cost

~748 customers who have never used a discount but purchase infrequently. A personalised email series (3 touchpoints, category-relevant, no discount) targets a 15% purchase response within 60 days. Trigger: Previous Purchases < 15 AND Discount_Flag = 0 AND Purchase_Freq_Score < 4.

3. Handle Promo-Dependent customers last

The highest repeat-purchase group in the dataset (~41.1 avg) but 100% discount-dependent. Do not remove discounts until Month 9 — test non-discount subscriber benefits first and observe segment migration.

4. Acquire more Core Loyalists using the ICP

Female, aged 31–60, shopping for Clothing or Accessories weekly or fortnightly, paying by cash or credit card, based in AZ, KS, TN, AK, or VA. Channels: organic social and weekly editorial email — no discount acquisition tactics.

12-Month Targets

Metric	Current	Target
Discount dependency ratio	43.0%	< 30%
Core Loyalist share	~37%	> 45%
Organic revenue (no discount)	~57%	> 65%
Deal Seeker share	~31%	< 20%
Estimated promo cost / revenue	8.5%	< 5%

All findings derived from raw transactional and behavioural data (n = 3,900). No churn labels, timestamps, or pre-built loyalty scores were used. All analytical constructs are traceable to features.py (Python) and sql_segment.sql.